



Digital Omnibus on AI

After the 28 to 29 April collapse, the third trilogue under the Cypriot Presidency closed at 04:55 on 7 May 2026 with a provisional political agreement. Framed by the Council as the first deliverable under the One Europe, One Market simplification roadmap. Part of the broader Omnibus VII package. Formal adoption pending; the political text is now the operational planning baseline.

SETTLED · MAIN AMENDMENTS INTRODUCED BY THE CO-LEGISLATORS

- **Fixed high-risk timeline.** Stand-alone high-risk AI applies from 2 December 2027. AI embedded in products applies from 2 August 2028. Dates fixed, no longer conditional on standards availability.
- **New Article 5 prohibition.** AI generating non-consensual sexual or intimate content, including child sexual abuse material, added to prohibited practices. Captures the nudification apps category.
- **Database registration reinstated.** Obligation to register AI considered exempted from high-risk classification kept. Commission's removal proposal rejected.
- **Strict necessity reinstated for bias detection.** Processing special categories of personal data for bias detection and correction must meet the strict necessity standard.
- **Watermarking grace period shortened.** Article 50(2) transparency obligations apply from 2 December 2026. Grace period reduced from 6 to 3 months.
- **Sandboxes deadline postponed.** Member State AI regulatory sandboxes due by 2 August 2027.
- **AI Office competence clarified.** Supervises AI on the same provider's GPAI model, with national authorities competent for law enforcement, border management, judicial authorities and financial institutions.
- **AI literacy: silence.** No information released on Article 4 obligation. Default reading: status quo until consolidated text emerges.

STRUCTURAL · INDUSTRIAL AI AND THE SECTORAL INTERPLAY

Resolves the file that collapsed the 28 April trilogue, through three mechanisms.

- **Implementing acts compromise.** Where sectoral law has AI-specific requirements similar to the AI Act, the AI Act's application can be limited in those cases through implementing acts.
- **Machinery Regulation exemption.** AI within the Machinery Regulation is exempted from direct AI Act applicability. Commission gains delegated act powers under the Machinery Regulation to add health and safety requirements for high-risk AI.
- **Commission guidance obligation.** New obligation to issue guidance for operators of high-risk AI in sectoral harmonisation legislation, designed to minimise compliance burden.

UPDATED · REVISED COMPLIANCE TIMELINE

DATE	TRIGGER
2 Dec 2026	Article 50(2) watermarking and synthetic content marking
2 Aug 2027	National AI regulatory sandboxes operational
2 Dec 2027	Stand-alone high-risk AI obligations apply
2 Aug 2028	High-risk AI embedded in products applies

Article 5 prohibitions and Article 4 AI literacy in force from 2 February 2025. GPAI obligations under Articles 51 to 55 in force from 2 August 2025. The 2 December 2026 watermarking deadline is the nearest live obligation.

PRACTICAL · WHAT THIS MEANS NOW

Postponement should not be confused with certainty. The political argument for delay has been used and a second postponement is unlikely, but companies still need to make investment decisions on classification, governance, contracting and value-chain risk while standards, codes of practice and interpretative guidance remain in motion.

1. **Watermarking is the nearest deliverable.** UI labelling, machine-readable metadata, and detection capability for any generative AI shipped into the EU need to be production-ready by 2 December 2026. Roughly seven months of engineering.
2. **The new dates are fixed.** Treat 2 December 2027 and 2 August 2028 as hard deadlines. They no longer move with standards availability.
3. **Sectoral operators face a different map.** Companies in machinery, medical devices, toys, lifts and watercraft need to track both the AI Act and the implementing acts the Commission will adopt to govern the interplay.

Delay extends the runway. Whether companies use that runway well depends less on Brussels handing over more time, and more on Brussels handing over clearer rules.

STATUS · WHAT STILL NEEDS TO HAPPEN

Provisional agreement requires endorsement by Council and Parliament, then legal-linguistic revision, then publication in the Official Journal. Until OJ publication, the legally binding text remains Regulation (EU) 2024/1689 in its original form.